

the actual cash proceeds resulting from the sale of corporate assets to the highest bidder. A liquidation thereby acts as a tether to reality for the stock market, forcing either undervalued or overvalued share prices to move into line with actual underlying value.

Absent Klarman's "tether to reality," do undervalued stock prices move into line with actual underlying value? It seems that they do. In fact, it turns out that most net-net stocks are not liquidated or merged.

As Graham and Klarman have pointed out, liquidation analyses—including the net current asset value proxy for liquidation value—are theoretical exercises in valuation. A liquidation is not usually the actual approach to value realization. The reason is that assets of a company are worth more as part of a going concern than in liquidation, so liquidation value is considered the worst-case scenario. Recall that Graham proposed a wide range of potential developments other than liquidation that would result in a higher stock price. In my research with Jeffrey Oxman and Sunil Mohanty, we looked specifically at the range of outcomes for net-net stocks. We found that very few stocks were liquidated or merged. In fact, of the 1,362 stocks in our sample, only nine firms were delisted due to liquidation (0.66 percent of the sample), and another five were delisted through merger (0.37 percent of the sample). Thus, excluding these firms made little difference to our estimate of the returns. It seems that it's not necessary for these stocks to attract attention from liquidators to advance. What, then, drives the returns to net-net stocks?

The exact mechanism by which the discount between intrinsic value and market price closes remains as much of a mystery today as it was in Graham's day. While a liquidation, like a merger, is one of the catalytic possibilities for value realization, our research shows that it is an exceedingly rare occurrence. This means that the most likely outcome is earnings generation commensurate with assets. Note that this development occurs in companies that Graham had previously identified as almost always having an unsatisfactory trend in earnings—"[i]f the profits had been increasing steadily it is obvious that the shares would not sell at so low a price."²⁹ What causes a stock with a poor earnings record to spontaneously begin generating adequate earnings, and to close the market price discount from intrinsic value? Graham suggested that it might be due to an improvement in the industry or through a change in the company's operating policies, with or without a change in management, but that's not really a satisfactory answer. He knew it, too, and this is why he described it as one of the mysteries of the business. Whatever its apparent cause, the narrowing of the discount between price and value is a phenomenon called mean reversion, and it is fundamental to deep value investment.